



MARKET MONITOR

No.39 – June 2016

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Roundup

Defying expectations of a generally favourable supply outlook, international prices of AMIS crops in recent weeks were very much influenced by production uncertainties. Severe crop damage in Argentina due to excessive rainfall has been the main factor behind the recent increase in soybean prices while the increase in maize prices was largely caused by dry weather dampening prospects for the second harvest in Brazil. Rice prices are also on the rise, as lingering El Niño-related droughts continued to affect negatively the outlook for rice production in 2016. By contrast, ample supplies and prospects for further increase in global inventories in the new season weighed on international wheat prices.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	▲	▼
Rice	■	▼
Soybeans	n/a	■

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Visit us at: www.amis-outlook.org



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World supply-demand outlook

- **Wheat** production forecast for 2016 increased on improved prospects in the EU, the Russian Federation and Turkey.

- Utilization in 2016/17 lowered on expectation of nearly 2.6 percent decline in feed use from 2015/16.

- Trade in 2016/17 (July/June) raised to the same level as in 2015/16 on higher imports by several Asian countries.

- Stocks (ending in 2017) to increase to a 15-year high following this month's sharp upward revisions, mostly to inventories in China but also EU and the Russian Federation.

in million tonnes

WHEAT	FAO-AMIS			USDA		IGC	
	2015/16 est.	2016/17 f'cast 5-May 2-Jun		2015/16 est.	2016/17 f'cast 10-May	2015/16 est.	2016/17 f'cast 26-May
Production	734	717	724	734	727	736	722
Supply	936	920	935	951	970	936	939
Utilization	719	724	718	708	713	719	717
Trade	155	154	155	167	164	156	154
Stocks	211	195	216	243	257	217	223

- **Maize** production forecast for 2016 raised mainly because of better prospects in Argentina, Canada, EU and the US.

- Utilization in 2016/17 to increase even at a faster pace, supported by stronger growth in feed and industrial use.

- Trade in 2016/17 (July/June) increased following upward revisions to imports in the EU, Egypt and Mexico more than offsetting a further cut in China.

- Stocks (ending in 2017) to decline by much less than it was forecast last month, mainly on larger inventories in the US.

MAIZE	FAO-AMIS			USDA		IGC	
	2015/16 est.	2016/17 f'cast 5-May 2-Jun		2015/16 est.	2016/17 f'cast 10-May	2015/16 est.	2016/17 f'cast 26-May
Production	1004	1015	1027	969	1011	971	1003
Supply	1227	1233	1246	1177	1219	1177	1208
Utilization	1007	1026	1029	969	1012	972	1003
Trade	132	130	131	121	133	130	129
Stocks	220	207	214	208	207	205	205

- **Rice** production forecast for 2016 lowered somewhat, as prospects for Bangladesh, Brazil and China deteriorate. Exporting countries to account for much of the 1 percent upturn in global output.

- Utilization in 2016/17 adjusted for a few countries; overall projected to increase by 1.3 percent from 2015/16.

- Trade in 2017 raised somewhat, due to larger expected exports by the US, but still seen falling by 2 percent y/y, on weaker import demand in Asia.

- Stocks to be drawn down by 5 million tonnes in 2016/17, necessary to bridge the gap between utilization and production.

RICE (milled)	FAO-AMIS			USDA		IGC	
	2015/16 est.	2016/17 f'cast 5-May 2-Jun		2015/16 est.	2016/17 f'cast 10-May	2015/16 est.	2016/17 f'cast 26-May
Production	490	495	494	470	481	473	486
Supply	664	664	663	585	587	584	587
Utilization	496	503	503	478	481	483	488
Trade	44.7	44.0	44.1	41.4	40.7	42.2	41.8
Stocks	169	164	164	106	107	101	99

- **Soybeans** 2016/17 production tentatively forecast to rebound, with gains in Brazil and India more than offsetting possible reductions in the US, Canada and Argentina.

- Global utilization projected to keep expanding in 2016/17, mainly reflecting expectations of further demand growth in China and a recovery in consumption in India.

- Trade in 2016/17 could rise further, stimulated by persistently strong import demand in China and other Asian countries and by ample export availabilities.

- Stocks (2016/17 carry-out) could drop from recent highs on expectation of sizeable drawdowns in Argentina, the US and China.

SOYBEANS	FAO-AMIS			USDA		IGC	
	2015/16 est.	2016/17 f'cast 2-Jun		2015/16 est.	2016/17 f'cast 10-May	2015/16 est.	2016/17 f'cast 26-May
Production	314	-	321	316	324	314	320
Supply	359	-	364	394	398	351	354
Utilization	317	-	330	318	328	318	325
Trade	131	-	138	133	138	130	133
Stocks	43	-	35	74	68	34	29



FAO-AMIS monthly forecast

For latest revisions to FAO-AMIS monthly forecasts for 2016/17 see next page.

To review and compare data, by country and commodity, across the three main sources, go to <http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2016/17*

in thousand tonnes

	WHEAT						MAIZE				
	Production	Imports	Utilization	Exports	Stocks		Production	Imports	Utilization	Exports	Stocks
WORLD	7089	930	-5789	960	20354		12007	982	3487	1010	6834
Total AMIS	7227	100	-6224	950	19784		10080	1646	3558	400	5564
Argentina	2500	-	-100	1000	300		2900	-	900	1500	500
Australia	-	-	400	-500	100		-	-	-	-	-
Brazil	-128	-	-28	-100	-		-2578	-	422	-4000	-
Canada	-	-	-	-	-		1300	-450	-300	600	500
China Mainland	-1500	300	-8500	-50	14551		-3500	-500	-500	-	-3434
Egypt	500	-	-	-	1550		-	500	500	-	-
EU	1000	-500	200	1000	1000		-	1000	1000	-	2000
India	-	200	500	-200	-1300		-	246	-	-	476
Indonesia	-	200	50	-	50		-	-	-	-	-
Japan	-	-	-	-	-		-	-	-	-	-
Kazakhstan	-	-	-	-	-197		-	-	-	-	-
Mexico	-	-	-	-	-		-	1000	1000	-	-
Nigeria	-	-	-	-	-		-	-	-	-	-
Philippines	-	-	-	-	-		-	-	-	-	-
Rep. of Korea	-	100	-	-	100		-	-	100	-	-106
Russian Fed.	3500	-	500	-	2500		419	-	119	300	-
Saudi Arabia	-	-	-	-	-		-	-	-	-	-
South Africa	-	100	150	-	-		-	-150	-	-	-50
Thailand	-	200	250	-	-50		-	-	-	-	-
Turkey	1000	-500	-	-	200		-	-	-	-	-
Ukraine	489	-	200	300	-11		-	-	-	-	-
US	-134	-	154	-500	991		11539	-	317	2000	5678
Viet Nam	-	-	-	-	-		-	-	-	-	-

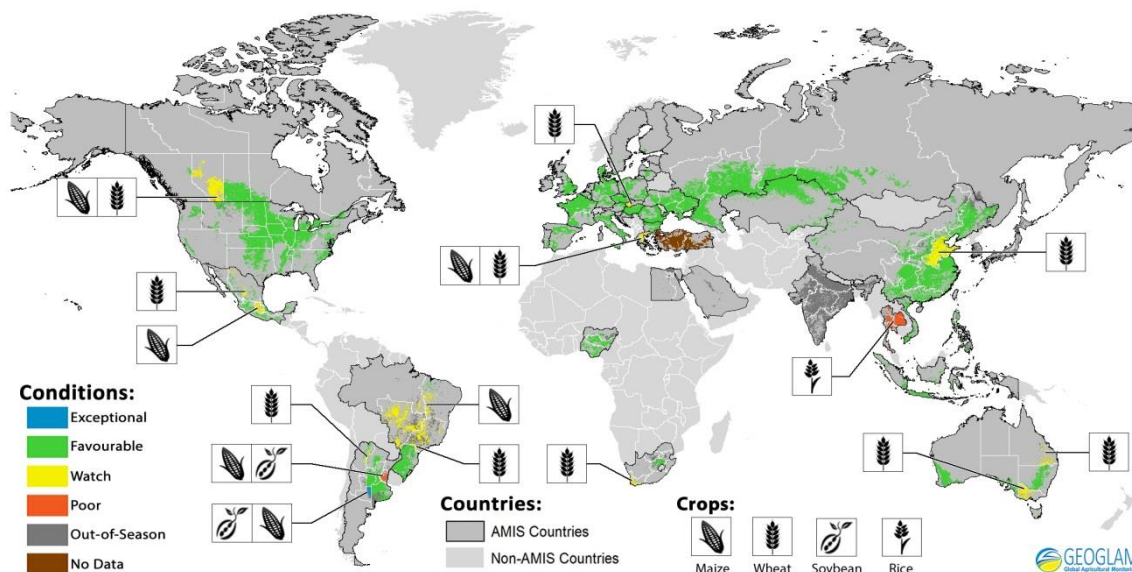
	RICE						SOYBEANS*				
	Production	Imports	Utilization	Exports	Stocks		Production	Imports	Utilization	Exports	Stocks
WORLD	-667	105	-745	105	-53		n/a	n/a	n/a	n/a	n/a
Total AMIS	-227	-	-333	105	70		n/a	n/a	n/a	n/a	n/a
Argentina	-	-	-	-	-						
Australia	-	-	-	-	-						
Brazil	-115	-	-69	-	21						
Canada	-	-	-	-	-						
China Mainland	-137	-	-185	-	-						
Egypt	-	-	-	-	-						
EU	-	-	-	-	-						
India	-	-	50	-	-						
Indonesia	-	-	-	-	-						
Japan	-	-	-	-	-						
Kazakhstan	-	-	-	-	-						
Mexico	-	-	-	-	-						
Nigeria	-	-	-	-	-						
Philippines	-	-	-50	-	-						
Rep. of Korea	-	-	-	-	-						
Russian Fed.	-	-	-	-	-						
Saudi Arabia	-	-	-	-	-						
South Africa	-	-	-	-	-						
Thailand	-	-	-	-	-						
Turkey	-	-	-	-	-						
Ukraine	-	-	-	-	-						
US	25	-	-90	100	-						
Viet Nam	-	-	10	-	50						



Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report. *Soybean forecast of June is the first of the season.

Crop monitor

Crop conditions in AMIS countries (as of May 28th)



Crop condition map synthesizing information for all four AMIS crops as of May 28th. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Crops that are in other than favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, winter wheat conditions continue to be largely favourable. Spring wheat planting is fully underway and conditions are favourable at this early stage of the season. In the southern hemisphere, the winter wheat season has started under mostly favourable conditions.

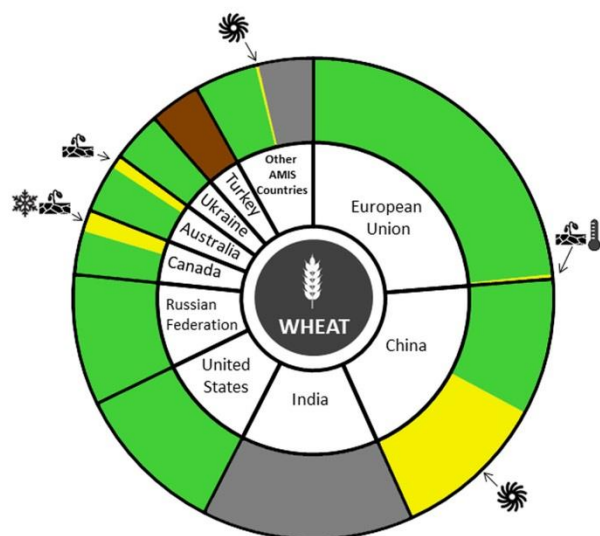
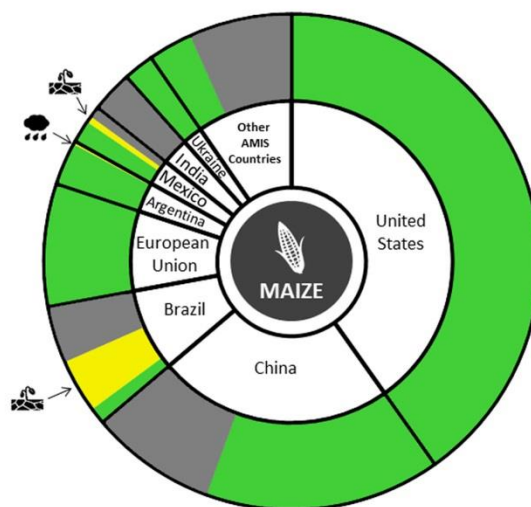
Maize - In the northern hemisphere, planting is almost complete under generally favourable conditions. In the southern hemisphere, conditions continue to be favourable in Argentina, however conditions remain mixed in Brazil due to the unfavourable weather earlier in the season.

Rice - Overall conditions for the new season are favourable in Southeast Asia. Planting and field preparations are ongoing in Thailand, the Philippines and the US under favourable conditions. End of season conditions for Thailand's dry season crop were poor due to the impacts of El Niño witnessed throughout the season.

Soybeans - In the northern hemisphere, planting began under generally favourable conditions. In the southern hemisphere, as the season draws to a close, conditions in Argentina improved, though some concerns remain due to heavy rainfall throughout April.

El Niño comes to a close: Return to neutral conditions

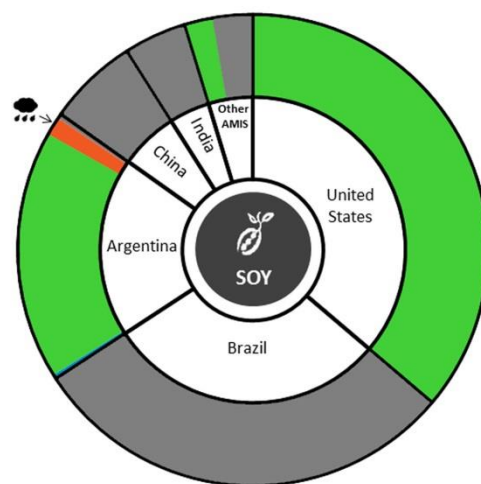
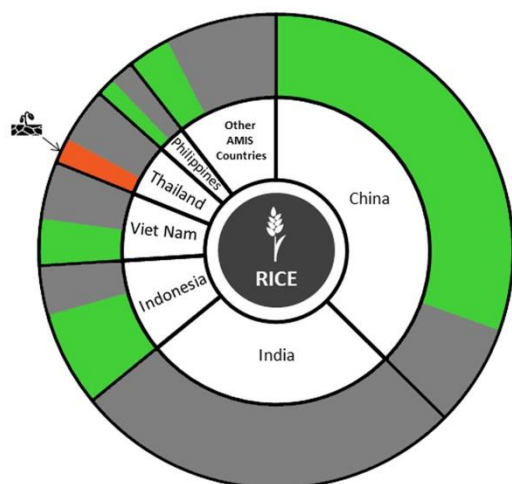
The El Niño of 2015-2016 is effectively over and will not be a factor during the 2016 northern hemisphere growing season. The return to neutral conditions should bring relief to drought stricken areas of East Africa, India, Central America, and Southeast Asia. However, there is an increased probability of a transition to La Niña by September. Should its intensity be moderate to strong, the likelihood of drier than average conditions will increase between October 2016 and June 2017 in the southern Horn of Africa, Central Asia, southeastern China, southeastern South America, Mexico, and the southern United States. Meanwhile, southern Africa, Australia, and northern South America would see above average rainfall.

Conditions:**Drivers:****Wheat**

In the **EU**, yields are expected to be above the five-year-average and conditions are generally favourable. Limited concern remains in some central and northern areas. In the **US**, winter wheat is in good condition as the Great Plains growing region received ample rain this spring and yields are expected to be strong. Spring wheat planting is well underway under good conditions. In **China**, winter wheat conditions are generally favourable except in the central east region where conditions are slightly below average due to pests. The spring wheat crop is in the tillering to jointing stages. In the **Russian Federation**, winter and spring wheat conditions are favourable owing to warm weather and good moisture conditions. In **Canada**, conditions for winter and spring wheat are favourable throughout the country except for in Alberta, where winter wheat conditions are poor and spring wheat conditions are mixed, due to dryness and cold weather. In **Ukraine**, conditions remain favourable and harvest prospects are good. In **Kazakhstan**, planting is proceeding under favourable moisture conditions. In **Australia**, planting is ongoing and conditions are generally favourable. However, there is some concern over dryness in the eastern growing regions.

Maize

In the **US**, planting is almost complete and conditions are favourable throughout the primary growing regions. In **China**, conditions are favourable for the spring-planted crop due to beneficial agro-climatic conditions, which promoted seeding in the northern regions. In **Ukraine**, conditions continue to be good owing to optimal soil moisture. In the **EU**, conditions are favourable, although some planting delays occurred due to cold and wet conditions. In **Mexico**, conditions are generally favourable for both the autumn and spring-planted crops. However, there are some concerns over dryness in the central region. In **Canada**, planting has begun and conditions are generally favourable. In the **Russian Federation**, planting is ongoing and moisture conditions are favourable throughout. In **Nigeria**, conditions continue to be favourable. In **Brazil**, conditions for the summer-planted (the larger producing season) continue to be mixed due to unfavourable weather in April and May. Despite an increase in planted area, production is expected to be lower relative to the previous crop. Harvest is complete for the smaller producing spring-planted crop, and increased yields have partially compensated for the reduction in area in some states. In **Argentina**, harvest continues to progress slowly due to the delayed planting and excess rainfall. Conditions remain generally favourable, though the wet weather is delaying the opportunity to dry the grains.

Conditions:**Drivers:****Rice**

In **India**, end of season rabi conditions were favourable for the mostly irrigated crop. In **China**, conditions are favourable for both the early-planted crop and the intermediate-planted crop due to beneficial temperatures and rainfall. In **Thailand**, harvest is almost complete and conditions remain poor for the dry season crop due to insufficient water, pest outbreaks and unfavourable weather throughout the season attributed to El Niño. Field preparations began for the wet season crop. In **Viet Nam**, overall conditions are favourable. Planting of the dry season crop is complete in the northern regions and harvest continues for the winter-spring dry season crop in the southern areas. In the **US**, conditions are favourable. In **Indonesia**, conditions are favourable for the wet season crop owing to favourable rainfall. In **Brazil**, harvest is almost complete except in the northeastern region where conditions are favourable. Overall, national production is lower than the previous crop due to reduced area and unfavourable weather conditions in the main southern producing region. In the **Philippines**, field preparations and planting of the wet season crop has begun.

Soybeans

In the **US**, planting is ongoing and conditions are favourable at this early stage of the season. In **Canada**, planting began and conditions are generally favourable. In **Brazil**, harvest is complete and an increase in planted area resulted in overall higher production. However, despite higher area, the total production of the current crop is similar to the previous year due to unfavourable weather conditions, which reduced yields. In **Argentina**, conditions have improved and harvest is ongoing, though significant delays remain. The grain quality was impacted by heavy rainfall during April.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published June 2nd 2016

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRR), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- In **Brazil**, the wheat minimum support prices for the 2016/17 crop were raised by 10 percent to BRL 38.65/60 kg (USD 179 per tonne) in the main producing area, the South region, and to BRL 42.53/60 kg (USD 198 per tonne) in the Southeast, and by 15 percent to BRL 44.26/60 kg (USD 205.83 per tonne) in the Centre West and Bahia.
- **Nigeria** announced that 10 000 tonnes of wheat would be released from public stocks.

Maize

- **Egypt** announced its domestic support price for maize at EGP 2 100 (USD 235.91) per tonne.

Rice

- **Thailand** continued efforts to clear stockpiled rice. An auction was held on 19 May which brought the cumulative volume sold this year to nearly 1.5 million tonnes. Efforts are under way to find new export destinations and to limit next season plantings.

Biofuels

- On 18 May 2016, the **US** proposed the volume requirements and associated percentage standards that apply in calendar year 2017 for cellulosic biofuel, biomass-based diesel, advanced biofuel, and total renewable fuel. The proposal also covers volume requirement for biomass-based diesel for 2018. The proposal foresees a 4 percent increase of the total renewable fuel volume between 2016 and 2017; from 18.11 billion gallons (68.6 billion litres) to 18.8 billion gallons (71.2 billion litres). The announcement invites comments by 11 July 2016.

Across the board

- In **Brazil**, the budget for agricultural support was increased by 8 percent for 2016/17 to BRL 202 billion (USD 56 billion), of which 83 percent will be allocated to subsidised loan rates for farm operations and commercialisation. Applied rates will increase from 8.75 percent to 9.5 and 11.25 percent. At the same time the budget for on-farm investment subsidies will decline by 10 percent, while applied rates will be increased from a range between 7.5-8.75 to 8.5-9.5 these interest rates compare with the benchmark rate of 14.5 percent.
- **Canada** extended until 1 August 2017 its transportation rule for mandatory minimum shipments of grain on the country's railway network that was put in place in 2014.



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	May 2016 Average*	% Change	
		M/M	Y/Y
GOI	199	+ 6.3%	+ 1.8%
Wheat	165	+ 0.5%	- 9.4%
Maize	191	+ 6.4%	+ 6.6%
Rice	159	+ 5.3%	- 1.2%
Soybeans	205	+ 10.1%	+ 8.9%

*Jan 2000=100, derived from daily export quotations

Wheat

Despite sharp advances in other crops, a mostly favourable outlook for world 2016/17 supplies continued to weigh on wheat market sentiment. Pressure stemmed from record stocks as well as upgraded production expectations in some areas. Planting made good progress in the US, Canada and Australia, with recent rains helping to relieve concerns about earlier dryness. While sowing in Argentina was hampered by wet conditions, expectations for a steep increase in area added to the negative tone. Tightening late season supplies bolstered nearby values in the Black Sea region, but amid improving 2016/17 production outlooks, new season quotations stayed very competitive. Attractive old crop prices contributed to buoyant late-season shipments by the EU, with export licence awards only modestly behind last year's record pace. Values softened in the US, but there was underpinning from worries about untimely wet weather in the southern Plains.

Maize

For a second successive month, world maize markets were supported by tightening spot availabilities in South America and spillover from a surge in soybeans. With quotations up across all origins, the IGC GOI sub-Index averaged 6 percent higher. Reflecting severe harvest delays and heightened worries about possible quality downgrades, gains in Argentina were especially marked. Prices in Brazil were also much firmer, with the exportable surplus seen shrinking after recent hot weather. US quotations were boosted by an uptick in export demand and mounting speculation about some intended acreage being

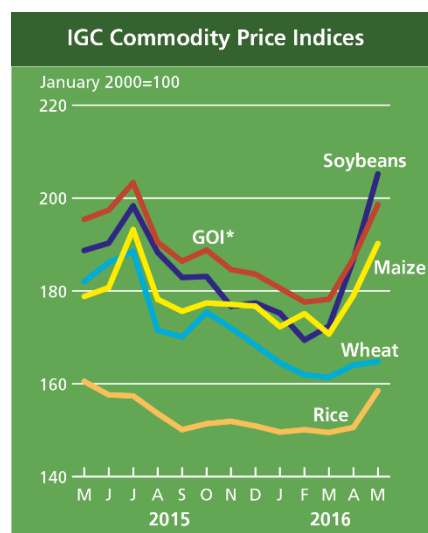
switched to soybeans. However, overall gains were capped by timely planting and current broadly favourable conditions. Black Sea values strengthened on a seasonal tightening of old crop supplies.

Rice

White and parboiled rice markets moved significantly higher in May as the impact of earlier adverse weather on crops and export availabilities in Asia became evident. Export quotations in Thailand rose to their highest since late 2014, as support from a disappointing second (off-season) outturn and ideas of fresh demand from China more than offset pressure from the release of 1.2 million tonnes of state reserves. In South Asia, FOB values were firmer in India on smaller than expected rabi crop arrivals and ongoing concerns about hot, dry conditions. In contrast, seasonal harvest pressure and limited buying interest from traditional importers, notably the Philippines, weighed on prices in Viet Nam.

Soybeans

Global markets advanced further, the IGC GOI sub-Index up by 10 percent m/m, buoyed by worries about the size and quality of Argentina's crop, where 2015/16 harvesting was well behind the previous season's pace. Strength in soymeal values added to the positive tone at times, as did USDA's bullishly-interpreted supply and demand projections for 2016/17. In South America, good demand from local processors and exporters was supportive. More recently, however, gains were trimmed by good US planting weather, with talk that some maize growers might shift a portion of area to soybeans also mildly bearish.

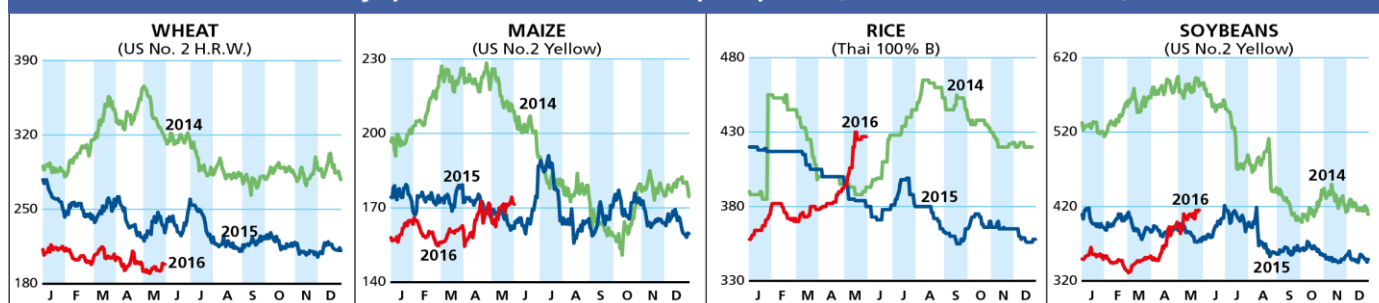


*GOI: Grains and Oilseeds Index

		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100))				
2015	May	195.4	182.0	178.8	160.5	188.7
	June	197.4	186.1	180.7	157.6	190.3
	July	203.3	188.5	193.2	157.4	198.3
	August	190.5	171.5	178.2	153.6	188.3
	September	186.4	170.1	175.6	150.1	182.9
	October	188.8	175.4	177.4	151.4	183.1
	November	184.6	172.0	177.1	151.9	176.7
	December	183.6	168.3	176.7	150.9	177.4
	2016 January	180.6	164.5	172.3	149.6	175.2
	February	177.6	161.9	175.1	150.1	169.4
	March	178.2	161.4	170.7	149.5	172.4
	April	187.0	164.0	179.0	150.6	186.7
	May	198.6	164.8	190.2	158.5	205.2

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2014-2016)



Daily quotations of selected export prices

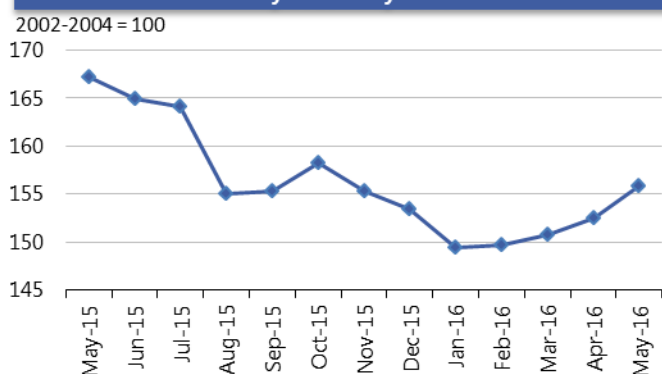
	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne) (.....)							
Wheat (US No. 2, HRW)	30-May	198	192	200	228	3.2%	-13.1%
Maize (US No. 2, Yellow)	31-May	171	171	172	162	0.2%	5.9%
Rice (Thai 100% B)	31-May	427	425	392	384	0.5%	11.2%
Soybeans (US No.2, Yellow)	30-May	415	405	394	376	2.5%	10.3%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	May 2016 Average	Monthly Change	Annual Change
Argentina	ARS	14.14	1.66%	-61.10%
Australia	AUD	1.36	-4.61%	-5.54%
Brazil	BRL	3.53	0.64%	-12.23%
Canada	CAD	1.29	-0.92%	-2.54%
China	CNY	6.52	-0.71%	-4.53%
Egypt	EGP	8.88	0.00%	-16.40%
EU	EUR	0.88	-0.15%	4.40%
India	INR	66.91	-0.72%	-7.09%
Indonesia	IDR	13 379.94	-1.61%	-2.43%
Japan	JPY	108.72	0.76%	9.67%
Kazakhstan	KZT	332.21	1.31%	-79.02%
Rep. Korea	KRW	1 172.79	-2.34%	-5.41%
Mexico	MXN	18.12	-3.71%	-18.96%
Nigeria	NGN	198.79	-0.02%	0.17%
Philippines	PHP	46.80	-0.94%	-5.20%
Russian Fed.	RUB	65.81	0.95%	-9.54%
Saudi Arabia	SAR	3.75	-0.02%	0.02%
South Africa	ZAR	15.29	-4.84%	-26.61%
Thailand	THB	35.39	-0.93%	-8.51%
Turkey	TRY	2.94	-3.94%	-13.66%
UK	GBP	0.69	1.41%	-3.11%
Ukraine	UAH	25.16	1.28%	-11.67%
Viet Nam	VND	2 2271.36	-0.01%	-4.01%

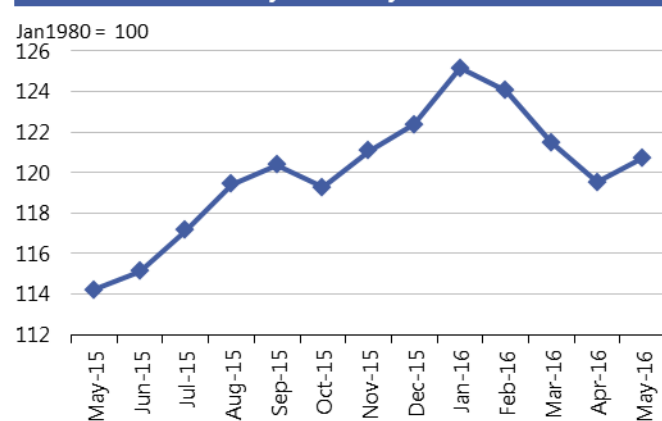
FAO Food Price Index

May 2015 - May 2016



Nominal Broad Dollar Index

May 2015 - May 2016



Source: US Federal Reserve

Futures markets

Futures Prices – nearby

	May-16 Average	% Change	
		M/M	Y/Y
Wheat	171	-1.2%	-5.2%
Maize	153	4.5%	8.4%
Rice	253	11.8%	20.4%
Soybeans	388	9.8%	10.4%

Source: CME

Futures prices

Prices for maize and soybeans climbed for the third consecutive month, rising 4.5 and 9.8 percent respectively. Both commodities were boosted by unusual weather conditions in South America including flooding in Argentina and drought in the largest producing state of Brazil (Mato Grosso). Maize futures were 8.4 percent higher y/y and soybeans were up about 10 percent y/y, reaching the highest level since September 2014, when prices were in steep decline. A small retrenchment in prices was exhibited near end month as USDA reported planting progress and crop emergence slightly better than average. Wheat prices followed a contrary pattern, and fell about 1.2 percent m/m and about 5.2 percent y/y. Favourable global growing conditions and USDA projection of global stocks climbing to a record in the new season weighed on wheat values. Rice prices, which experienced a slow decline between October 2015 and April 2016, rose sharply by almost 12 percent. Despite increased crop prospects in the US, rice values were underpinned by concerns over drought in Southeast Asia and flooding in South America.

Volumes and volatility

Following last month's record surge in volume, transaction levels for wheat, maize and soybeans declined 42, 36 and 23 percent respectively, although soybean volumes remained higher y/y by 80 percent. Implied volatility increased in maize and soybeans but fell for wheat, registering a mid-twenties level for all 3 commodities. Historical volatility rose for all three commodities and was higher y/y.

Basis levels

Basis levels for wheat, maize and soybeans remained weak, as producers responded to higher futures prices with increased sales. According to the USDA, Iowa maize and soybean basis levels at farm-gate were discounted to their respective July futures by USD 16 and USD 28 per tonne, while Illinois basis levels were discounted by about USD 6 and USD 13. Export values at the Gulf of Mexico were weak at approximately USD 14 and USD 11 per tonne premium to July futures for maize and soybeans respectively. Domestic wheat basis levels remained weak. Although cumulative exports for wheat, maize and soybeans continued to lag last year by about 10 percent, outstanding sales for current marketing year surpassed levels reported a year ago. Truck transportation rates edged up slightly in response to

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	May-16	Apr-16	May-15
Wheat (Nearby)	33.3	24.9	30.3
Maize (May)	28.7	20.3	17.2
Rice (Nearby)	24.3	21.0	20.7
Soybeans (Nearby)	25.1	13.5	13.8

diesel fuel stabilization and barge freight rose slightly m/m, although US transportation rates were significantly below three- year averages.

Forward curves

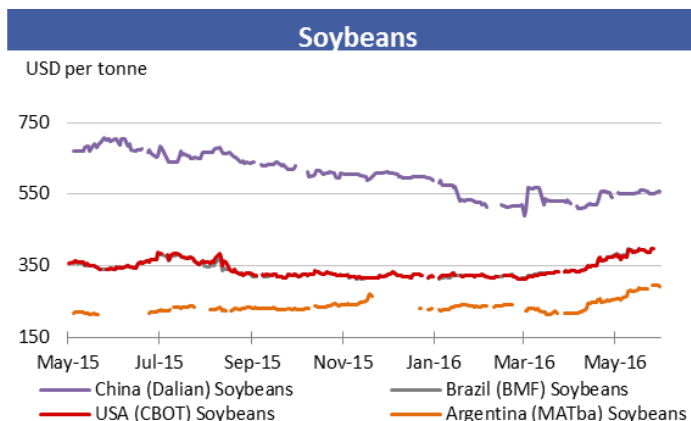
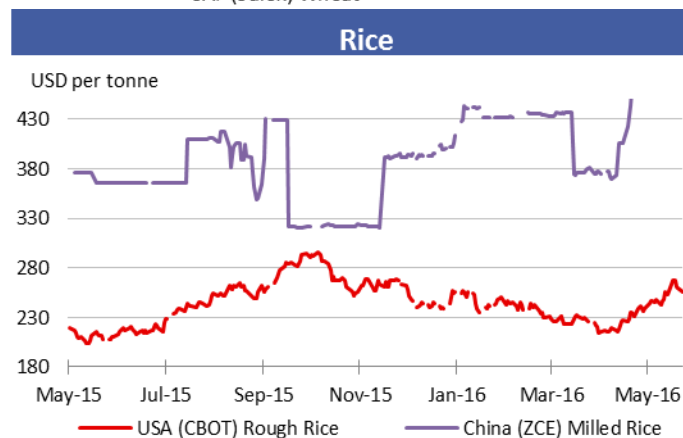
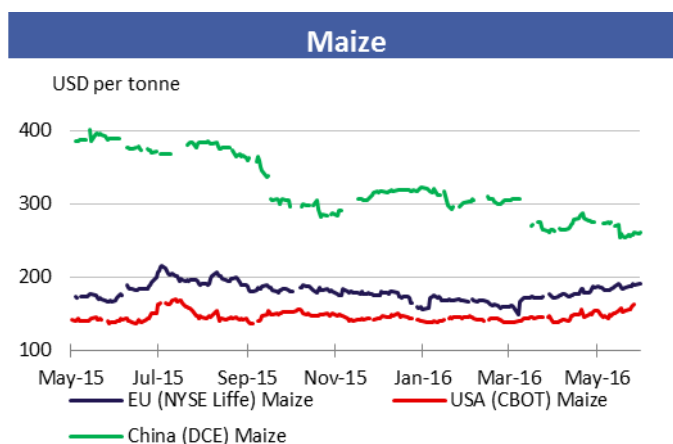
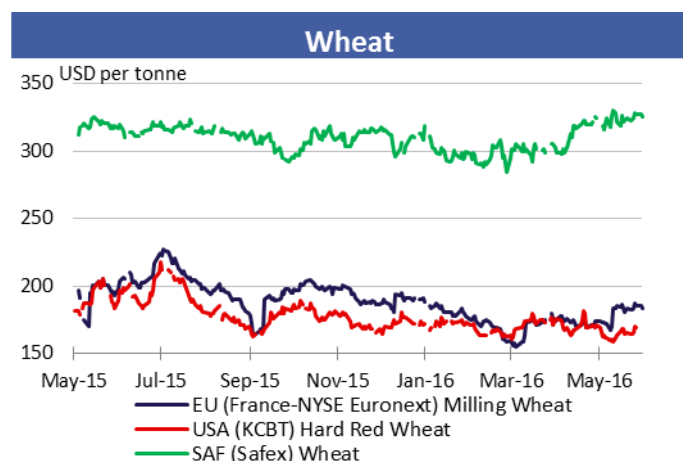
Forward curves for maize and soybeans maintained their configurations established in April, when they exhibited a nearby tightening to deferred months. Soybean prices for July delivery showed a USD 12 inversion over the November harvest month delivery, an abnormal level given the low basis levels and relatively high stocks-to-use ratio of about 11 percent projected for 2015/16. Analysts commented that for almost all soybean crop years with stocks-to-use ratios over 10 percent, the July contract eventually traded at a discount to the November contract. However, some traders have noted that the extraordinarily high Brazilian basis levels (USD 32 per tonne premium to July futures FOB Paranaguà) would force a considerable switch from Brazil to US origin soybeans, tightening the US balance sheet. Maize forward curves remained upward sloping but narrowed considerably between the July 2016 and December 2016 contracts, while wheat forward curves were wide and unchanged.

Investment flows

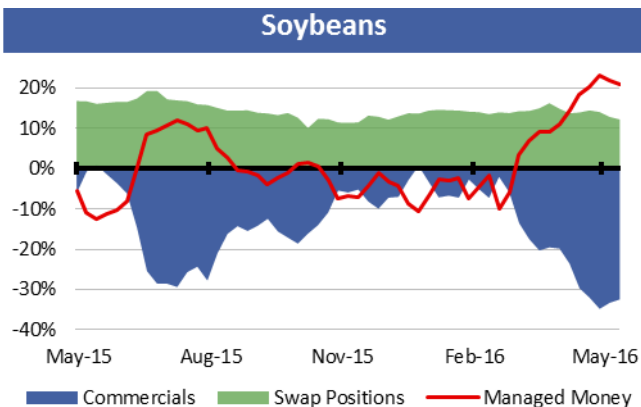
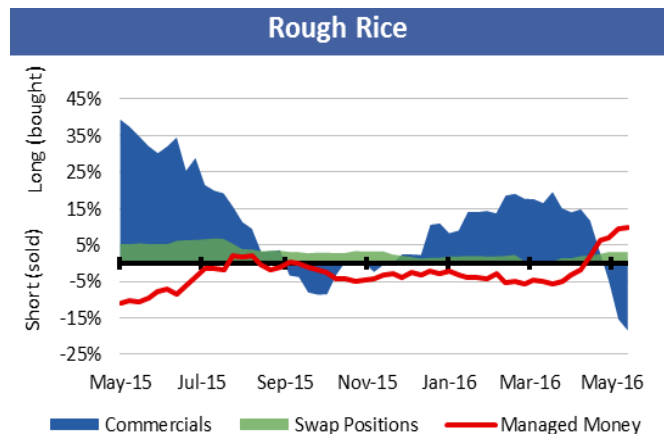
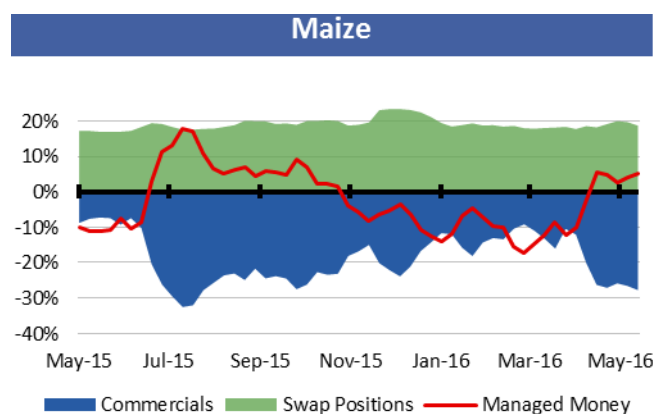
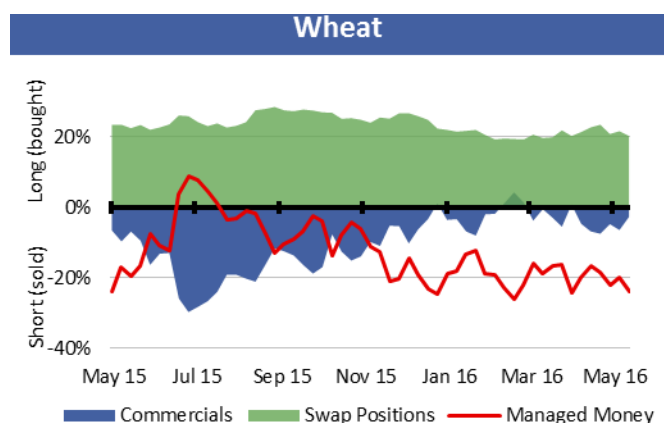
Managed money was less active m/m in changing positions for wheat, maize and soybeans. It reduced slightly its net long maize position and maintained its net short position in wheat, which it has held in varying amounts for nine months. Managed money increased its net long position in soybeans, holding the highest percentage (23 percent) of net long open interest since May 2014. Commercials maintained net short positions in all three commodities as supplies were available at discounts to futures.

Market indicators

Daily quotations from leading exchanges - nearby futures

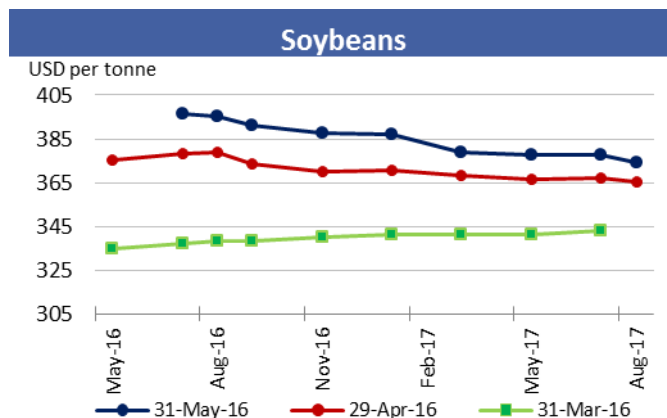
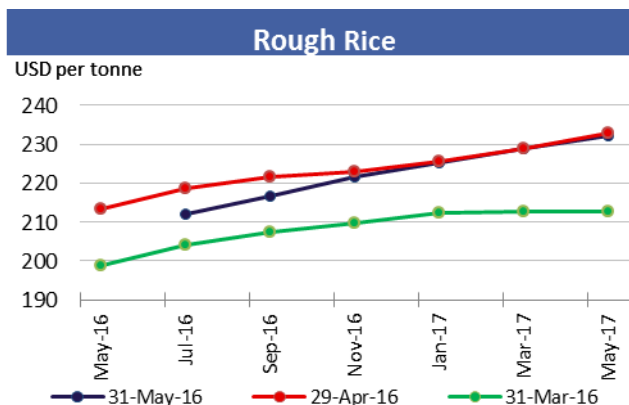
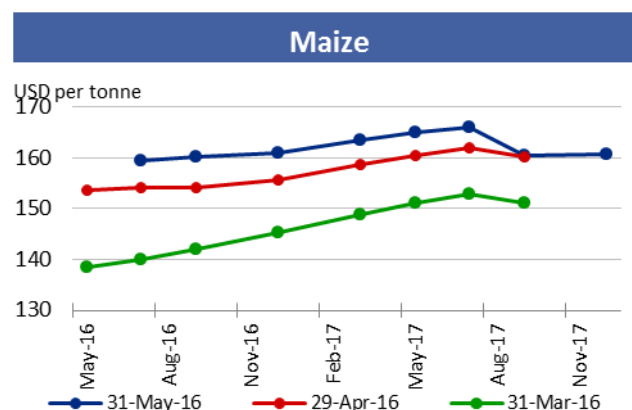
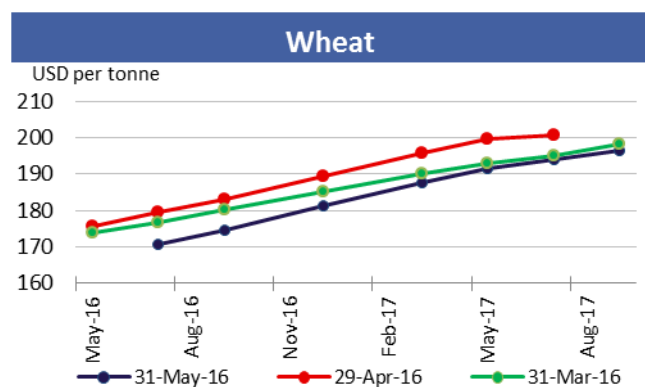


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

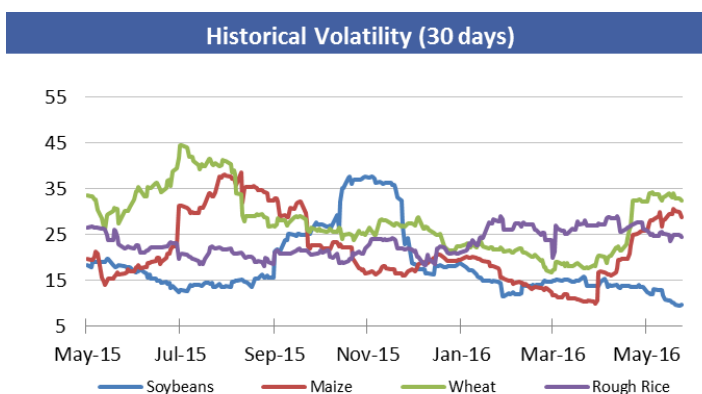
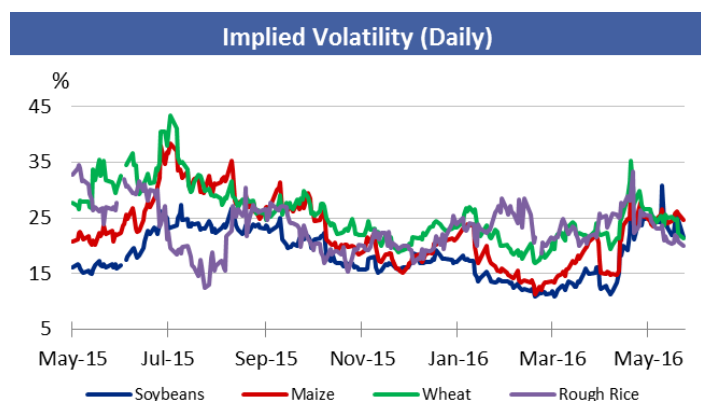


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

For more information on technical terms please view the Glossary at the following link:

http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Monthly US ethanol update

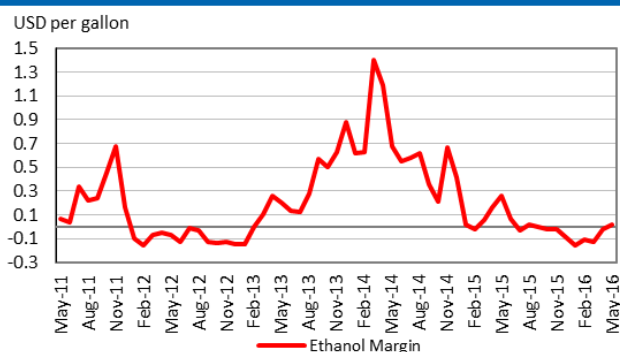
- **Ethanol prices** continue to follow gasoline and oil prices higher, but the steady rise of oil and gasoline prices has erased the unusual price premium ethanol held to gasoline over the last several months.
- **Ethanol margins** improved with the rise in ethanol prices despite increased maize costs which had turned up in April and were steady to higher in May.
- **Ethanol margins** were the highest level since August of 2015, but well below May of 2015 when margins surged in the summer and well below the first half of 2014.
- **Ethanol production** was up month over month and year over year.
- The United States Environmental Protection Agency (EPA) released its preliminary rule for the Renewable Fuel Standard (RFS) for 2017. This is the proposal for setting the renewable fuel volume mandates for the 2017 calendar year. In these rules the EPA proposed increasing the volume which maize ethanol may access from 14.4 billion gallons in 2016 to 14.8 billion gallons in 2017.

Spot prices IA, NE and IL/eastern corn belt average	May 2016*	Apr 2016	May 2015
Maize price (USD per tonne)	143.40	140.48	141.21
DDGs (USD per tonne)	130.66	122.53	173.11
Ethanol price (USD per gallon)	1.49	1.45	1.57
Nearby futures prices CME, NYSE			
Ethanol (USD per gallon)	1.54	1.52	1.61
RBOB Gasoline (USD per gallon)	1.6	1.5	2.0
Ethanol/RBOB price ratio	98.4%	101.8%	79.2%
Ethanol margins IA, NE and IL/eastern corn belt average, USD per gallon)			
Ethanol receipts	1.49	1.45	1.57
DDGs receipts	0.40	0.38	0.54
Maize costs	1.32	1.30	1.30
Other costs	0.55	0.55	0.55
Production margin	0.01	-0.02	0.26
Ethanol production (million gallons)			
Monthly production total	1 251	1 188	1 246
Annualized production pace	14 724	14 457	14 670

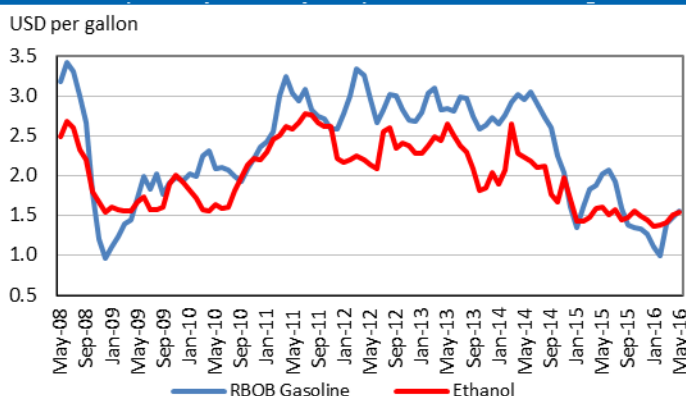
Based on USDA data and private sources

* Estimated using available weekly data to date.

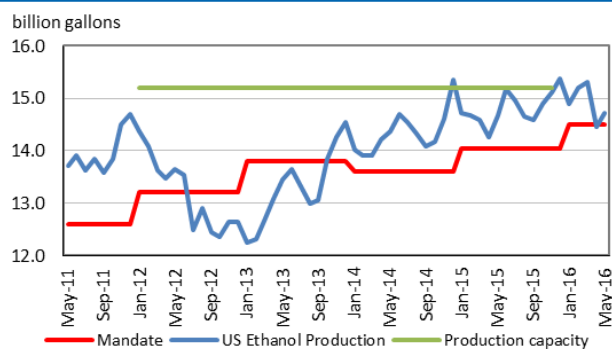
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

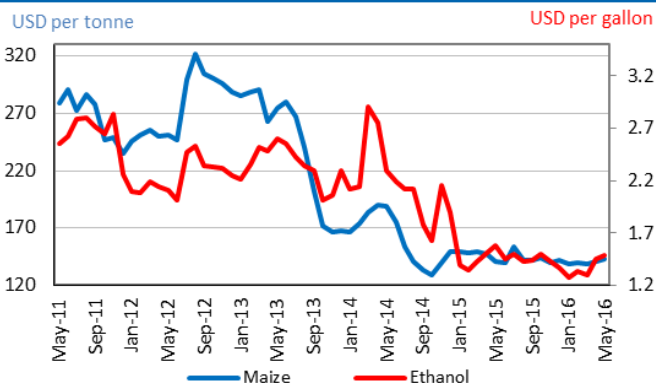


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

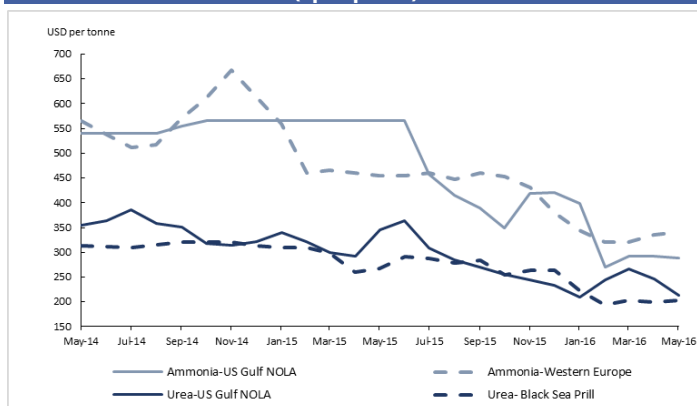
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

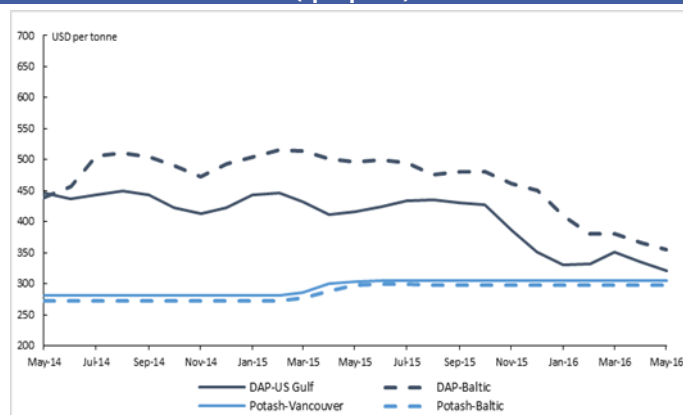
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

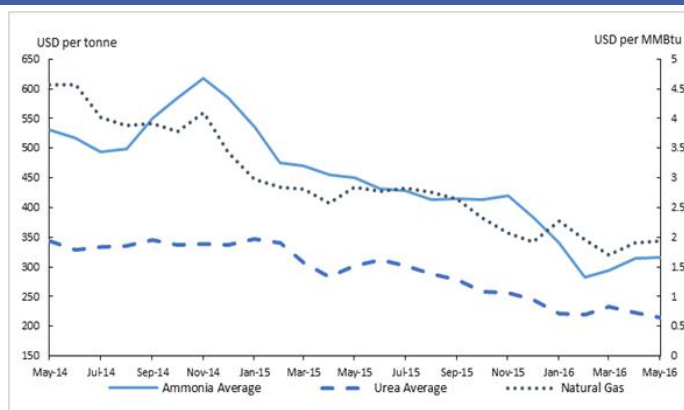
Ammonia and Urea (Spot prices)



Potash and Phosphate (Spot prices)



Ammonia Average, Urea Average and Natural Gas (Spot prices)



Charts Sources: Bloomberg

- **Ammonia** prices moved in different direction, with a 1.5 percent m/m increase in Western Europe but a 1.4 percent m/m decrease in US Gulf.
- **Urea** m/m prices of both US Gulf and Black Sea decreased 6.2 percent and 2.3 percent, respectively. Prices fell mostly on larger export supplies from China in the face of decreasing demand from India, China's most important buyer.
- Both US Gulf and Baltic **DAP** m/m prices continued decreasing, falling to a one year low. Surplus in India amid weak demand in Latin America weighed down on prices.
- **Potash** prices remain steady with demand uptake from China still uncertain.
- **Natural gas** price rose in response to the US Energy Information Administration announcement of a lower increase in inventories than earlier expected.

Region	May average	May std. dev	% change previous month	% change previous year	12-month high	12-month low
Ammonia-US Gulf NOLA	288.0	7.0	-1.4%	-49.0%	565.0	271.0
Ammonia-Western Europe	340.0	5.0	1.5%	-25.3%	460.0	320.0
Urea-US Gulf	212.3	12.5	-13.7%	-38.5%	363.6	210.0
Urea-Black Sea	202.7	4.0	1.3%	-24.2%	292.0	193.3
DAP-US Gulf	320.3	9.5	-4.5%	-23.2%	435.8	320.3
DAP-Baltic	355.0	8.7	-3.0%	-28.5%	500.0	355.0
Potash-Baltic	298.0	-	-	-	300.0	298.0
Potash-Vancouver	305.0	-	-	-	305.0	303.8
Ammonia Average	315.3	2.3	0.6%	-29.9%	449.9	282.1
Urea Average	214.0	5.3	-4.3%	-29.1%	311.4	214.0
Natural Gas	1.9	0.1	1.9%	-31.6%	2.8	1.7

Source: Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.
Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. **DAP:** Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “**FAO-AMIS**”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

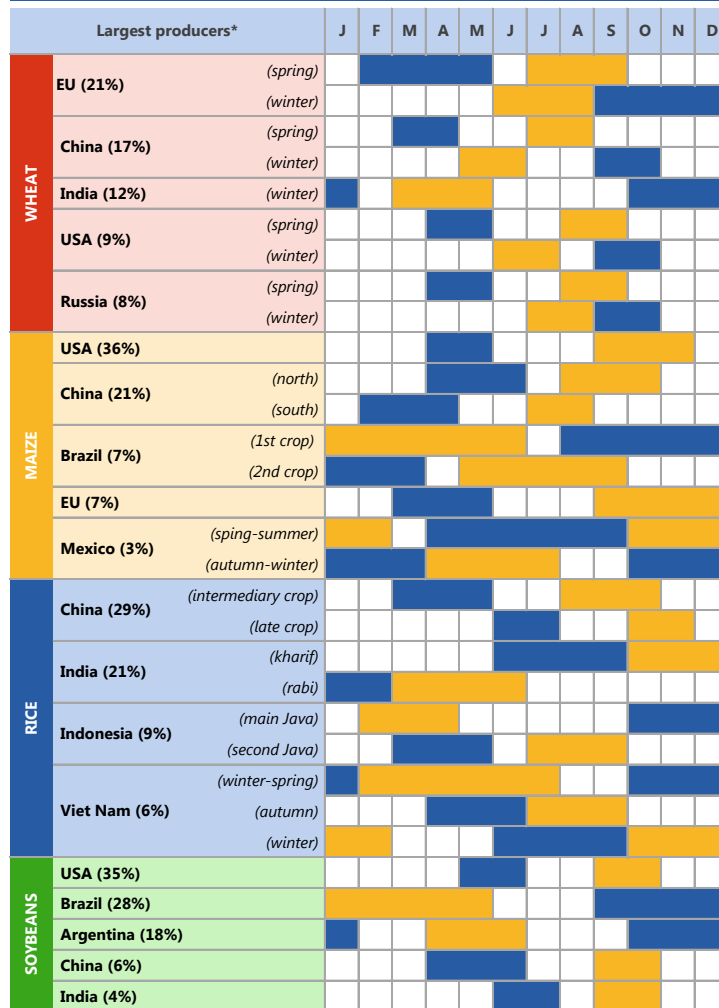
Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank

AMIS Crop Calendar

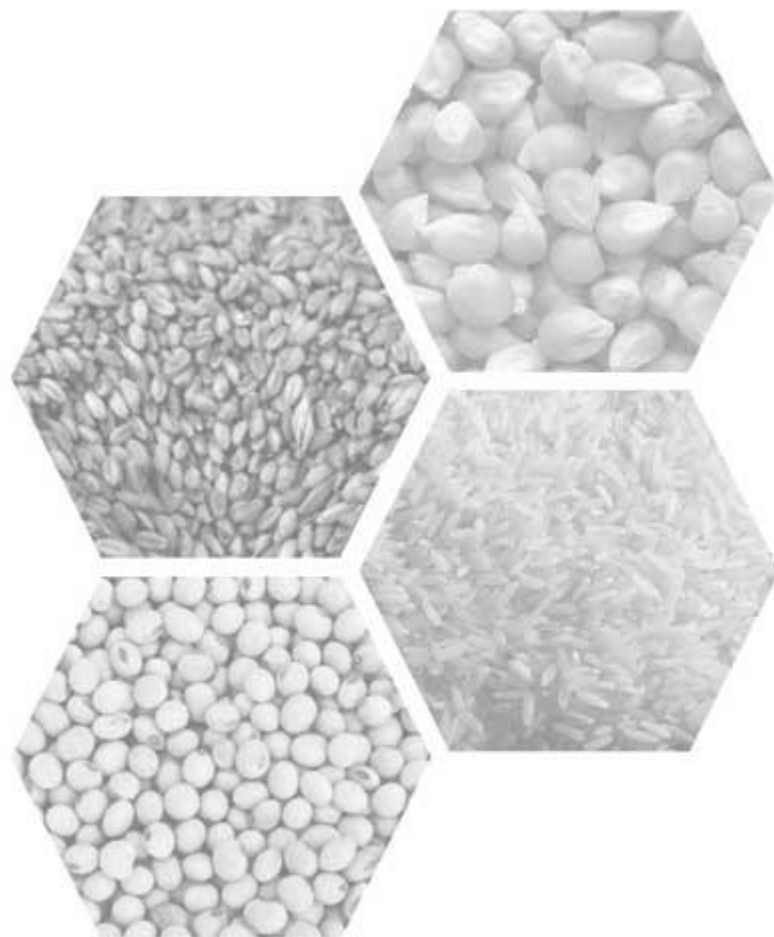


* The percentages refer to the global share of production (average 2008-12).

Planting Harvesting

2016 Release Dates

04 February, 03 March, 07 April, 05 May, 02 June, 07 July, 08 September, 06 October, 10 November, 08 December



Contacts and Subscriptions

AMIS Secretariat Email:
AMIS-Secretariat@fao.org

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